

CHAPTER 11

House Poor, House Rich

So you skipped my advice and got married anyway. But you did sign a solid prenup, didn't blow a wad of money on the wedding, and now you're happily married. And because you've made money a primary concern, your first fights actually aren't *about* money. They're about space—closet space, and who gets the one parking spot in the winter. You're probably still living in the same apartment you lived in when you were dating. But now you're thinking of starting a family. So wedding talk is soon replaced by talk of open houses, floor plans, and mortgages.

Home ownership is a powerful lure, and we live in a real-estate obsessed world. Alongside gold, homes are one of the few investments I have made in my life that do not pay dividends. I own my fair share of property, which has tended to increase in value over time. But while a home is an important investment in anyone's portfolio, it must be seen in a different category from most investments. It may or may not appreciate in value rapidly, so it should be considered a safety net, not your primary investment. Once paid for, your home becomes an asset you can rely on, no matter what is happening in the world around you. Still, there are many things to consider before you take that big first step toward getting a mortgage.

Fact is, home ownership often forces you to break a lot of sound investment rules. You're borrowing most of the money from the bank, so you're highly leveraged. You're illiquid, so if you need cash fast, you can't just sell a house—it's a process that often takes months and months, and takes a big bite out of your bottom line. And because of